Tencent 腾讯

For Immediate Release

TENCENT ANNOUNCES 2025 THIRD QUARTER RESULTS

Solid Revenue Growth with Continued Operating Leverage

AI Investments Contributing to Business Growth and Efficiency Enhancement

Hong Kong, 13 November 2025 – Tencent Holdings Limited (HKEX: 00700 (HKD Counter) and 80700 (RMB Counter), "Tencent" or "the Company"), a world-leading Internet and technology company in China, today announced the unaudited consolidated results for the quarter ended 30 September 2025 ("3Q2025").

Mr. Ma Huateng, Chairman and CEO of Tencent, said, "During the third quarter of 2025, we achieved solid revenue and earnings growth, reflecting healthy trends across games, marketing services, and fintech and business services. Our strategic investments in AI are benefitting us in business areas such as ad targeting and game engagement, as well as in efficiency enhancement areas such as coding, and game and video production. We are upgrading the team and architecture of our HunYuan foundation model, whose image and 3D generation models are now industry leading. As HunYuan's capabilities continue to improve, our investment in growing Yuanbao adoption, and our effort in developing agentic AI capabilities within Weixin, will gain further traction."

3Q2025 Financial Highlights

Revenues: +15% YoY, gross profit: +22% YoY, non-IFRS[1] operating profit: +18% YoY

- **Total revenues** were RMB192.9 billion, up 15% over the third quarter of 2024.
- **Gross profit** was RMB108.8 billion, up 22% YoY.
- **On a non-IFRS basis,** which is intended to reflect core earnings by excluding certain one-time and/or non-cash items:
  - **Operating profit** was RMB72.6 billion, up 18% YoY. Operating margin increased to 38% from 37% last year.
  - **Net profit** was RMB 72.8 billion, up 19% YoY.
  - **Net profit attributable to equity holders of the Company** for the period was RMB70.6 billion, up 18% YoY.
  - **Basic earnings per share** were RMB7.769. **Diluted earnings per share** were RMB7.575.
- **On an IFRS basis**:
  - Operating profit was RMB63.6 billion, up 19% YoY. Operating margin increased to 33% from 32% last year.
  - Net profit was RMB64.9 billion, up 20% YoY.
  - Net profit attributable to equity holders of the Company for the quarter was RMB63.1 billion, up 19% YoY.
  - Basic earnings per share were RMB6.952. Diluted earnings per share were RMB6.779.
- **Capital expenditure** was RMB13.0 billion, down 24% YoY.
- **Free cash flow** was RMB58.5 billion, flat YoY. **Total cash** was RMB493.3 billion, up 16% YoY. **Net cash position** totalled RMB102.4 billion, up 7% YoY.
- The fair value of our shareholdings[2] in listed investee companies (excluding subsidiaries) totalled RMB800.8 billion as at 30 September 2025, compared to RMB714.3 billion as at 30 June 2025. The carrying book value of our shareholdings in unlisted investee companies (excluding subsidiaries) was RMB345.2 billion as at 30 September 2025, compared to RMB342.3 billion as at 30 June 2025.
- During 3Q2025, the Company repurchased approximately 35.4 million shares on the Hong Kong Stock Exchange for an aggregate consideration of approximately HKD21.1 billion.

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[1] Non-IFRS adjustments excludes share-based compensation, M&A related impact such as net (gains)/losses from investee companies, amortisation of intangible assets, impairment provisions/(reversals), SSV & CPP, income tax effects and others

[2] Including those held via special purpose vehicles, on an attributable basis

3Q2025 Management Discussion and Analysis

Revenues from VAS increased by 16% year-on-year to RMB95.9 billion for 3Q2025. Domestic Games revenues were RMB42.8 billion, up 15% year-on-year, primarily reflecting contributions from recently released games such as Delta Force, growth in revenues from evergreen games such as Honour of Kings and Peacekeeper Elite, and the expansion of VALORANT from PC to mobile. International Games revenues were RMB20.8 billion, representing a 43% year-on-year increase (42% on a constant-currency basis), mainly due to higher revenues from Supercell's games, recognising revenue upfront on copy sales of new game release, and to consolidation of recently acquired studios. Social Networks revenues rose by 5% year-on-year to RMB32.3 billion, due to growth in Video Accounts live streaming revenue, music subscription revenue and Mini Games platform service fees.

Revenues from Marketing Services were RMB36.2 billion for 3Q2025, up 21% year-on-year. The growth was due to higher ad impressions, benefitting from increased user engagement and ad load, coupled with higher eCPMs, driven by AI-powered ad targeting. Advertising spending increased across all major industry categories during the quarter.

Revenues from FinTech and Business Services rose by 10% year-on-year to RMB58.2 billion for 3Q2025. FinTech Services revenue grew at a high single-digit percentage rate year-on-year, primarily due to higher revenues from commercial payment activities and consumer loan services. Business Services revenues grew at a teens percentage rate year-on-year, reflecting higher cloud services revenues, including those driven by increased enterprise customer demand for AI-related services, and higher eCommerce technology service fees arising from growth in Mini Shops GMV.

Operating Metrics

	As at 30 September 2025	As at 30 September 2024	Year-on-year change	As at 30 June 2025	Quarter-on-quarter change
		(in millions, unless specified)			
Combined MAU of Weixin and WeChat	**1,414**	1,382	2%	1,411	0.2%
Mobile device MAU of QQ	**517**	562	-8%	532	-3%
Fee-based VAS subscriptions[3]	**265**	265	stable	264	0.4%

3Q2025 Business Review and Outlook

- For **Mini Shops**, we are systematically building a more vibrant transaction ecosystem, resulting in continued rapid growth in GMV. For example, we used foundation model capabilities to better understand user interests and thus improve merchandise recommendations.

- We enhanced **AI features in Weixin** to provide new services to users and to promote greater usage of Yuanbao with encouraging results.

- For our domestic games, **Delta Force** ranked among the top 3 games industry-wide by gross receipts during the quarter[4]. **VALORANT MOBILE** has become China's most successful mobile game launch year-to-date[5].

[3] Average daily number of subscriptions during the quarter
[4] Company data and Sensor Tower
[5] QuestMobile and Sensor Tower, by first month DAU and gross receipts of new releases, for 1 January to 12 November 2025

- For our international games, **Clash Royale**'s monthly DAU and gross receipts achieved all-time highs in September 2025. Newly released game, **Dying Light: The Beast**, has attained a "Very Positive" average user review score on Steam[6].

- **Tencent Video** maintained its lead in the long-form video industry with 114 million[7] subscriptions, and **Tencent Music** similarly maintained its lead in the music streaming industry with 126 million[8] subscriptions.

- We introduced our automated ad campaign solution, **AIM+**, under which advertisers can automate targeting, bidding and placement, as well as optimise ad creation, improving their return on marketing investment.

- **Commercial payment** volume grew at a faster rate than during the second quarter, as online payment volume grew robustly while offline payment volume trend improved, particularly in the retail and transportation categories.

- We enhanced **HunYuan** Large Language Model's complex reasoning capabilities, especially in coding, mathematics, and science. HunYuan image generation model is ranked first globally among text-to-image models by LMArena[9].

For other detailed disclosure, please refer to our website https://www.tencent.com/en-us/investors.html, or follow us via Weixin Official Account (Weixin ID: TencentGlobal):

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[6] 87% positive player review as of 12 November 2025
[7] The average daily number of subscriptions for 3Q2025
[8] The average number of subscriptions as of the last day of each month during 3Q2025
[9] As of 12 November 2025

About Tencent

Tencent uses technology to enrich the lives of Internet users.

Our communication and social services, Weixin and QQ, connect users with each other and with digital content and services, both online and offline, making their lives more convenient. Our targeted marketing services helps advertisers reach out to hundreds of millions of consumers in China. Our FinTech and business services support partners' business growth and assist their digital upgrade.

Tencent invests heavily in talent and technological innovation, actively promoting the development of the Internet industry. Tencent was founded in Shenzhen, China, in 1998. Tencent has been listed on the Main Board of the Stock Exchange of Hong Kong since 2004.

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Non-IFRS Financial Measures

To supplement the consolidated results of the Group ("the Company and its subsidiaries") prepared in accordance with IFRS, certain additional non-IFRS financial measures (in terms of operating profit, operating margin, profit for the period, profit attributable to equity holders of the Company, basic EPS and diluted EPS) have been presented in this press release. These unaudited non-IFRS financial measures should be considered in addition to, not as a substitute for, measures of the Group's financial performance prepared in accordance with IFRS. In addition, these non-IFRS financial measures may be defined differently from similar terms used by other companies.

The Company's management believes that the non-IFRS financial measures provide investors with useful supplementary information to assess the performance of the Group's core operations by excluding certain non-cash items and certain impact of investment-related transactions. In addition, non-IFRS adjustments include relevant non-IFRS adjustments for the Group's major associates based on available published financials of the relevant major associates, or estimates made by the Company's management based on available information, certain expectations, assumptions and premises.

Forward-Looking Statements

This press release contains forward-looking statements relating to the business outlook, estimates of financial performance, forecast business plans and growth strategies of the Group. These forward-looking statements are based on information currently available to the Group and are stated herein on the basis of the outlook at the time of this press release. They are based on certain expectations, assumptions and premises, some of which are subjective or beyond our control. These forward-looking statements may prove to be incorrect and may not be realised in the future. Underlying these forward-looking statements are a lot of risks and uncertainties. In light of the risks and uncertainties, the inclusion of forward-looking statements in this press release should not be regarded as representations by the Board or the Company that the plans and objectives will be achieved, and investors should not place undue reliance on such statements.

CONDENSED CONSOLIDATED INCOME STATEMENT

RMB in millions, unless specified

	Unaudited		Unaudited	
	3Q2025	3Q2024	**3Q2025**	2Q2025
Revenues	**192,869**	167,193	**192,869**	184,504
VAS	**95,860**	82,695	**95,860**	91,368
Marketing Services	**36,242**	29,993	**36,242**	35,762
FinTech and Business Services	**58,174**	53,089	**58,174**	55,536
Others	**2,593**	1,416	**2,593**	1,838
Cost of revenues	**(84,071)**	(78,365)	**(84,071)**	(79,491)
Gross profit	**108,798**	88,828	**108,798**	105,013
Gross margin	**56%**	53%	**56%**	57%
Selling and marketing expenses	**(11,468)**	(9,411)	**(11,468)**	(9,410)
General and administrative expenses	**(34,259)**	(29,058)	**(34,259)**	(31,921)
Other gains/(losses), net	**483**	2,974	**483**	(3,578)
Operating profit	**63,554**	53,333	**63,554**	60,104
Operating margin	**33%**	32%	**33%**	33%
Net gains/(losses) from investments and others	**2,820**	3,066	**2,820**	2,638
Interest income	**4,256**	3,996	**4,256**	4,121
Finance costs	**(3,756)**	(3,531)	**(3,756)**	(3,941)
Share of profit/(loss) of associates and joint ventures, net	**7,854**	6,019	**7,854**	4,473
Profit before income tax	**74,728**	62,883	**74,728**	67,395
Income tax expense	**(9,785)**	(8,900)	**(9,785)**	(11,351)
Profit for the period	**64,943**	53,983	**64,943**	56,044
Attributable to:				
Equity holders of the Company	**63,133**	53,230	**63,133**	55,628
Non-controlling interests	**1,810**	753	**1,810**	416
Non-IFRS operating profit	**72,570**	61,274	**72,570**	69,248
Non-IFRS profit attributable to equity holders of the Company	**70,551**	59,813	**70,551**	63,052
Earnings per share for profit attributable to equity holders of the Company (in RMB per share)				
- basic	**6.952**	5.762	**6.952**	6.115
- diluted	**6.779**	5.644	**6.779**	5.996

CONDENSED CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

RMB in millions, unless specified

	Unaudited	
	3Q2025	3Q2024
Profit for the period	**64,943**	53,983
Other comprehensive income, net of tax:		
Items that may be subsequently reclassified to profit or loss		
Share of other comprehensive income of associates and joint ventures	**(722)**	155
Transfer of share of other comprehensive income to profit or loss upon disposal and deemed disposal of associates and joint ventures	**(92)**	-
Net (losses)/gains from changes in fair value of financial assets at fair value through other comprehensive income	**(18)**	20
Transfer to profit or loss upon disposal of financial assets at fair value through other comprehensive income	**(5)**	-
Currency translation differences	**(3,895)**	(2,909)
Net movement in reserves for hedges	**308**	(880)
Items that will not be subsequently reclassified to profit or loss		
Share of other comprehensive income of associates and joint ventures	**12**	52
Net gains from changes in fair value of financial assets at fair value through other comprehensive income	**17,479**	33,578
Currency translation differences	**(966)**	(153)
Net movement in reserves for hedges	**(14)**	19
	12,087	29,882
Total comprehensive income for the period	**77,030**	83,865
Attributable to:		
Equity holders of the Company	**76,499**	82,179
Non-controlling interests	**531**	1,686

OTHER FINANCIAL INFORMATION

RMB in millions, unless specified

	Unaudited		
	3Q2025	3Q2024	2Q2025
EBITDA (a)	**80,357**	64,397	79,467
Adjusted EBITDA (a)	**86,698**	69,656	85,122
Adjusted EBITDA margin (b)	**45%**	42%	46%
Interest and related expenses	**3,206**	3,145	3,541
Net cash (c)	**102,422**	95,462	74,592
Capital expenditures (d)	**12,983**	17,094	19,107

Note:

(a) EBITDA is calculated as operating profit minus other gains/(losses), net, and adding back depreciation of property, plant and equipment, investment properties as well as right-of-use assets, and amortisation of intangible assets and land use rights. Adjusted EBITDA is calculated as EBITDA plus equity-settled share-based compensation expenses

(b) Adjusted EBITDA margin is calculated by dividing Adjusted EBITDA by revenues

(c) Net cash represents period end balance and is calculated as cash and cash equivalents, plus term deposits and others, including highly liquid investment products held for treasury purposes, minus borrowings and notes payable

(d) Capital expenditures primarily consist of investments in IT infrastructure (including computer equipment, components, and software), data centres, land use rights, office premises and intellectual properties (excluding media content)

CONDENSED CONSOLIDATED STATEMENT OF FINANCIAL POSITION

RMB in millions, unless specified

	Unaudited As at 30 September, 2025	Audited As at 31 December, 2024
ASSETS		
Non-current assets		
Property, plant and equipment	**140,463**	80,185
Land use rights	**22,489**	23,117
Right-of-use assets	**16,680**	17,679
Construction in progress	**9,542**	12,302
Investment properties	**955**	801
Intangible assets	**212,459**	196,127
Investments in associates	**321,278**	290,343
Investments in joint ventures	**6,708**	7,072
Financial assets at fair value through profit or loss	**208,447**	204,999
Financial assets at fair value through other comprehensive income	**417,503**	302,360
Prepayments, deposits and other assets	**24,556**	42,828
Other financial assets	**1,411**	1,076
Deferred income tax assets	**29,943**	28,325
Term deposits	**78,685**	77,601
	1,491,119	1,284,815
Current assets		
Inventories	**550**	440
Accounts receivable	**52,357**	48,203
Prepayments, deposits and other assets	**103,016**	101,044
Other financial assets	**4,525**	4,750
Financial assets at fair value through profit or loss	**23,742**	9,568
Financial assets at fair value through other comprehensive income	**8,256**	3,345
Term deposits	**226,146**	192,977
Restricted cash	**3,579**	3,334
Cash and cash equivalents	**159,982**	132,519
	582,153	496,180
Total assets	**2,073,272**	1,780,995

CONDENSED CONSOLIDATED STATEMENT OF FINANCIAL POSITION (continued)

RMB in millions, unless specified

	Unaudited As at 30 September, 2025	Audited As at 31 December, 2024
EQUITY		
Equity attributable to equity holders of the Company		
Share capital	**-**	-
Share premium	**57,750**	43,079
Treasury shares	**(2,514)**	(3,597)
Shares held for share award schemes	**(7,182)**	(5,093)
Other reserves	**158,719**	47,129
Retained earnings	**965,307**	892,030
	1,172,080	973,548
Non-controlling interests	**88,435**	80,348
Total equity	**1,260,515**	1,053,896
LIABILITIES		
Non-current liabilities		
Borrowings	**200,696**	146,521
Notes payable	**127,382**	130,586
Long-term payables	**11,750**	10,201
Other financial liabilities	**5,358**	4,203
Deferred income tax liabilities	**21,416**	18,546
Lease liabilities	**13,069**	13,897
Deferred revenue	**3,852**	6,236
	383,523	330,190
Current liabilities		
Accounts payable	**128,749**	118,712
Other payables and accruals	**83,354**	84,032
Borrowings	**52,193**	52,885
Notes payable	**10,655**	8,623
Current income tax liabilities	**17,222**	16,586
Other tax liabilities	**4,601**	4,038
Other financial liabilities	**5,121**	6,336
Lease liabilities	**5,300**	5,600
Deferred revenue	**122,039**	100,097
	429,234	396,909
Total liabilities	**812,757**	727,099
Total equity and liabilities	**2,073,272**	1,780,995

RECONCILIATIONS OF THE GROUP'S NON-IFRS FINANCIAL MEASURES TO THE NEAREST MEASURES PREPARED IN ACCORDANCE WITH IFRS

RMB in millions, unless specified	As reported	Adjustments							Non-IFRS
		Share-based compensation (a)	Net (gains)/losses from investee companies (b)	Amortisation of intangible assets (c)	Impairment provisions/ (reversals) (d)	SSV & CPP (e)	Others (f)	Income tax effects (g)	
					Unaudited three months ended 30 September 2025				
Operating profit	**63,554**	**7,188**	**–**	**1,622**	**–**	**206**	**–**	**–**	**72,570**
Share of profit/(loss) of associates and joint ventures, net	**7,854**	**909**	**(555)**	**1,755**	**(1)**	**–**	**360**	**–**	**10,322**
Profit for the period	**64,943**	**8,097**	**1,703**	**3,377**	**(4,798)**	**321**	**360**	**(1,207)**	**72,796**
Profit attributable to equity holders	**63,133**	**7,905**	**1,730**	**3,003**	**(4,805)**	**321**	**360**	**(1,096)**	**70,551**
Operating margin	**33%**								**38%**
					Unaudited three months ended 30 September 2024				
Operating profit	53,333	6,377	–	1,324	–	240	–	–	61,274
Share of profit/(loss) of associates and joint ventures, net	6,019	985	60	1,433	12	–	–	–	8,509
Profit for the period	53,983	7,362	(6,610)	2,757	3,788	304	–	(653)	60,931
Profit attributable to equity holders	53,230	7,180	(6,664)	2,591	3,766	304	–	(594)	59,813
Operating margin	32%								37%
					Unaudited three months ended 30 June 2025				
Operating profit	60,104	7,361	–	1,614	–	169	–	–	69,248
Share of profit/(loss) of associates and joint ventures, net	4,473	903	(798)	1,544	226	–	–	–	6,348
Profit for the period	56,044	8,264	(2,396)	3,158	(372)	751	–	(683)	64,766
Profit attributable to equity holders	55,628	8,071	(3,192)	2,848	(405)	751	–	(649)	63,052
Operating margin	33%								38%

Note:

(a) Including put options granted to employees of investee companies on their shares and shares to be issued under investee companies' share-based incentive plans which can be acquired by the Group, and other incentives

(b) Including net (gains)/losses on deemed disposals/disposals of investee companies, fair value changes arising from investee companies, and other expenses in relation to equity transactions of investee companies

(c) Amortisation of intangible assets resulting from acquisitions

(d) Mainly including impairment provisions/(reversals) for associates, joint ventures, goodwill and other intangible assets arising from acquisitions

(e) Mainly including donations and expenses incurred for the Group's Sustainable Social Value and Common Prosperity Programme ("SSV & CPP") initiatives

(f) Primarily non-recurring compliance-related costs and expenses incurred for certain litigation settlements of the Group and/or arising from investee companies

(g) Income tax effects of non-IFRS adjustments